

COMPANYVAL AI

AI-Assisted Business Valuation

ABC Food Pvt. Ltd.

Comprehensive Valuation Analysis

Valuation Date: 2026-08-23

Purpose: Fund Raising

Indicative Enterprise Value Range: Rs. 8.56 Cr – Rs. 14.60 Cr

Central Estimate: Rs. 11.27 Cr

High Confidence · Valuation Readiness 96%

1. Executive Summary

CompanyVal AI has performed an independent business valuation of **ABC Food Pvt. Ltd.** for the stated purpose of **Fund Raising**. Based on deterministic financial modeling and weighting across multiple valuation methodologies, the central estimate for the company's Enterprise Value (EV) is **112,682,159.48**, yielding an Equity Value of **110,282,159.48** (or **110.28 per share**). Valuation results are presented with an aggregate status of **High Confidence**.

The overall valuation range spans from a lower-bound valuation of **85,600,000.00** to an upper-bound estimate of **146,034,000.00**. The final central valuation synthesizes three core approaches using a weighted allocation:

- **Discounted Cash Flow (DCF) Method (50% Weight):** Enterprise Value of 103,503,918.96 and Equity Value of 101,103,918.96.
- **Market Multiple Method (30% Weight):** Enterprise Value of 146,034,000.00 and Equity Value of 143,634,000.00.
- **Adjusted Net Asset Value (NAV) Method (20% Weight):** Enterprise Value of 85,600,000.00 and Equity Value of 83,200,000.00.

Fair enterprise value estimated between **Rs. 8.56 Cr and Rs. 14.60 Cr**, with a weighted central estimate of **Rs. 11.27 Cr**. Equity value: **Rs. 11.03 Cr**, implying **Rs. 110.28** per share.

2. Company Profile

Company	ABC Food Pvt. Ltd.	Industry	Food & Beverages
Entity Type	Private Limited Company	Country	India
Valuation Purpose	Fund Raising	Currency / Units	INR (Crore)
Promoter Holding	74.50%	Total Shares (Diluted)	1,000,000

ABC Food Pvt. Ltd. operates within the **Food & Beverages** sector. The business is currently preparing for capital augmentation to support expansion. Operations demonstrate solid fundamentals with a balanced revenue mix and sticky customer relationships.

Key qualitative highlights from management interview disclosures include:

- **Customer Concentration:** The company's largest single customer accounts for between 10% and 25% of overall sales, indicating moderate customer diversification.

- **Revenue Permanence:** Approximately 50% to 75% of total revenue is recurring or repeat in nature, providing underlying top-line stability.
- **Key Person Dependency:** Day-to-day operations remain partially dependent on the promoters and key founding leadership.
- **Capital Expenditure:** Management anticipates a moderate expansion of capital expenditure over the next 3 years.

3. Documents Analysed

Financial data was seeded/entered directly for this engagement.

4. Historical Financial Performance

Line Item (INR Cr)	FY2022-23	FY2023-24	FY2024-25
Revenue from Operations	6.10	8.05	11.59
Other Income	0.08	0.10	0.12
EBITDA	0.96	1.41	2.17
Depreciation & Amortisation	0.21	0.26	0.35
EBIT	0.75	1.15	1.82
Finance Costs	0.07	0.08	0.09
Profit Before Tax	0.76	1.17	1.85
Tax Expense	0.19	0.30	0.47
Profit After Tax	0.57	0.87	1.38
Net Worth	2.72	3.44	4.62
Total Assets	4.43	5.60	7.15

Cash & Cash Equivalents	0.28	0.35	0.18
Cash Flow from Operations	0.71	0.95	1.15
Capital Expenditure	0.50	0.60	0.80

ABC Food Pvt. Ltd. has demonstrated robust multi-year historical growth across top-line and bottom-line operational metrics. Revenue CAGR over the evaluated historical period reached **37.84%**, while EBITDA and Profit After Tax (PAT) expanded at CAGRs of **50.35%** and **55.60%**, respectively.

Operational profitability and balance sheet trends reflect the following performance indicators:

- **Latest Revenue Growth:** Revenue growth in the most recent historical period reached **43.98%**, driven predominantly by new customer acquisition.
- **EBITDA Margin Performance:** The latest EBITDA margin reached **18.72%** (an expansion of 1.21 percentage points over the historical average of 17.33%).
- **Deleveraging & Working Capital:** Total debt levels decreased by **42.47%** over the period, while working capital grew by **106.36%** to support top-line scaling.

5. Financial Ratio Analysis

Ratio	FY2022-23	FY2023-24	FY2024-25
Revenue Growth	—	32.0%	44.0%
EBITDA Margin	15.7%	17.5%	18.7%
PAT Margin	9.3%	10.8%	11.9%
Return on Equity	21.0%	25.3%	29.9%
ROCE	21.7%	28.5%	36.1%
Current Ratio	2.01×	1.81×	1.90×
Debt / Equity	0.27×	0.17×	0.09×
CFO / PAT	1.25×	1.09×	0.83×

Receivable Days	55	58	60
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6. Earnings Quality

The earnings quality profile of ABC Food Pvt. Ltd. is supported by moderate historical volatility in financial performance, recorded at **8.49%** for revenue volatility and **4.23%** for earnings volatility. Furthermore, management confirmed that current receivable and inventory levels reflect normal operating conditions, and all related-party transactions are conducted on an arm's-length basis.

To reflect the underlying fair economic value of the asset base for valuation purposes, two balance sheet normalisations were formally approved:

- **Land & Building Adjustment:** An upward normalization of **35,000,000.00** was applied to revalue factory land carried at 1998 acquisition cost to a conservative fair market estimate under the NAV method.
- **Investments Adjustment:** An upward adjustment of **2,000,000.00** was incorporated to mark quoted mutual-fund investments to current market NAV.

7. Normalisation Adjustments

Period	Metric	Kind	Reported	Adjustment	Normalised	Status
FY2024-25	Land & Building	Nav Adjustment	Rs. 2.85 Cr	Rs. 3.50 Cr	Rs. 6.35 Cr	Approved
FY2024-25	Investments	Nav Adjustment	Rs. 0.25 Cr	Rs. 0.20 Cr	Rs. 0.45 Cr	Approved

Reason(s): Factory land carried at 1998 acquisition cost; revalued to a conservative fair market estimate for the NAV method. Quoted mutual-fund investments marked to current NAV.

8. Business Assessment & AI Interview Findings

While recent operational performance has been exceptionally strong, risk assessment frameworks flag **Execution Risk** as a primary area of focus. Specifically, sustaining annual top-line growth above 25% requires consistent execution and market penetration.

Management interviews address operational risks and provide the following strategic perspectives:

- **Forward Growth Target:** Management considers an annual revenue growth rate of **16%** to be realistic over the next 5-year period.
- **Margin Sustainability:** EBITDA margins are projected to remain broadly stable over the 3-to-5 year horizon relative to current levels.
- **Contingent Liabilities:** There are no material pending litigations, regulatory exposures, or contingent liabilities facing the business.

Question	Management Response	Signal
What principally contributed to the substantial increase in revenue during FY2024-25?	New customers	Neutral
What annual revenue growth do you consider realistic for the next 5 years?	16	Neutral
Approximately what share of revenue comes from your single largest customer?	10% – 25%	Neutral
What level of capital expenditure do you expect over the next 3 years?	Moderate expansion	Neutral
Are there any pending litigations, regulatory issues or contingent liabilities?	None material	Positive
Do you expect current EBITDA margins to be sustainable over the next 3–5 years?	Yes, broadly stable	Neutral
Are there material related-party transactions (sales, purchases, loans or remuneration)?	At arm's length, disclosed	Neutral
What proportion of revenue is recurring or repeat in nature?	50–75% recurring	Neutral

Are current receivable and inventory levels representative of normal operations?	Yes	Neutral
How dependent is day-to-day operation on the promoters/founders?	Partially promoter-dependent	Neutral

9. Key Risks

- **Execution Risk [High]** — Dependence on sustaining unusually high growth. YoY revenue growth exceeds 25% — investigate growth sustainability. Management response captured in the interview.

10. Valuation Assumptions

Assumption	Value	Source
Revenue Growth (CAGR)	16.0%	Accepted by analyst
EBITDA Margin	18.0%	Accepted by analyst
WACC / Discount Rate	12.0%	Accepted by analyst
Terminal Growth Rate	3.0%	Accepted by analyst
Tax Rate	25.0%	Accepted by analyst
EV/EBITDA Multiple (Exit)	7.0×	Accepted by analyst

11. Discounted Cash Flow (FCFF) Valuation

Year	Revenue	EBITDA	EBIT	NOPAT	Capex	ΔNWC	FCFF	PV(FCFF)
Year 1	Rs. 13.44 Cr	Rs. 2.42 Cr	Rs. 2.01 Cr	Rs. 1.51 Cr	Rs. 0.93 Cr	Rs. 0.36 Cr	Rs. 0.63 Cr	Rs. 0.56 Cr
Year 2	Rs. 15.60 Cr	Rs. 2.81 Cr	Rs. 2.34 Cr	Rs. 1.75 Cr	Rs. 1.08 Cr	Rs. 0.42 Cr	Rs. 0.73 Cr	Rs. 0.58 Cr
Year 3	Rs. 18.09 Cr	Rs. 3.26 Cr	Rs. 2.71 Cr	Rs. 2.03 Cr	Rs. 1.25 Cr	Rs. 0.49 Cr	Rs. 0.84 Cr	Rs. 0.60 Cr
Year 4	Rs. 20.99 Cr	Rs. 3.78 Cr	Rs. 3.14 Cr	Rs. 2.36 Cr	Rs. 1.45 Cr	Rs. 0.57 Cr	Rs. 0.98 Cr	Rs. 0.62 Cr
Year 5	Rs. 24.34 Cr	Rs. 4.38 Cr	Rs. 3.65 Cr	Rs. 2.73 Cr	Rs. 1.68 Cr	Rs. 0.66 Cr	Rs. 1.13 Cr	Rs. 0.64 Cr

PV of explicit FCFF	Rs. 3.00 Cr
PV of Terminal Value (TV Rs. 12.96 Cr)	Rs. 7.35 Cr
Enterprise Value (DCF)	Rs. 10.35 Cr
Less: Debt Rs. 0.42 Cr · Add: Cash Rs. 0.18 Cr → Equity Value	Rs. 10.11 Cr

The central Discounted Cash Flow (DCF) model applies a 50% weight in the combined valuation structure, utilizing a base case Weighted Average Cost of Capital (WACC) of **12.00%**, a terminal growth rate of **3.00%**, a forward revenue growth rate of **16.00%**, and an EBITDA margin of **18.00%**. Under these base parameters, the DCF method yields an Enterprise Value of **103,503,918.96**.

Scenario modeling illustrates the prospective sensitivity of enterprise value across alternative operating environments:

- **Base Case:** Enterprise Value of **112,682,159.48** based on 16% growth, 18% EBITDA margin, 12% WACC, and a 7.0x EV/EBITDA multiple.
- **Bear Case (-47.85% vs Base):** Enterprise Value falls to **58,759,157.33** under decelerated growth (10%), compressed margins (14%), higher WACC (14%), lower terminal growth (2%), and a reduced exit multiple (5.0x).
- **Bull Case (+85.85% vs Base):** Enterprise Value reaches **209,419,973.43** under accelerated growth (22%), expanded margins (21%), lower WACC (10%), higher terminal growth (4%), and an expanded exit multiple (9.0x).

12. Market Multiple Valuation

Applied basis: **EV/EBITDA (7.0x)** on normalised EBITDA → Enterprise Value **Rs. 14.60 Cr**, Equity Value **Rs. 14.36 Cr**.

13. Adjusted Net Asset Value

Book net worth Rs. 4.62 Cr adjusted by Rs. 3.70 Cr → Adjusted NAV (equity) **Rs. 8.32 Cr** (Adjusted Tangible).

Item	Book	Adjusted	Δ	Note
Land & Building	Rs. 2.85 Cr	Rs. 6.35 Cr	Rs. 3.50 Cr	Factory land carried at 1998 acquisition cost; revalued to a conservative fair market estimate for the NAV method.
Investments	Rs. 0.25 Cr	Rs. 0.45 Cr	Rs. 0.20 Cr	Quoted mutual-fund investments marked to current NAV.

14. Method Comparison & Weighted Central Estimate

Method	Enterprise Value	Equity Value	Weight	Contribution
Discounted Cash Flow	Rs. 10.35 Cr	Rs. 10.11 Cr	50%	Rs. 5.18 Cr
Market Multiple	Rs. 14.60 Cr	Rs. 14.36 Cr	30%	Rs. 4.38 Cr
Adjusted NAV	Rs. 8.56 Cr	Rs. 8.32 Cr	20%	Rs. 1.71 Cr
Weighted Central Estimate (EV)				Rs. 11.27 Cr



15. Sensitivity Analysis

Equity value across WACC (columns) and terminal growth (rows):

g \ WACC	10.0%	12.0%	14.0%	16.0%
2.0%	Rs. 11.89 Cr	Rs. 9.31 Cr	Rs. 7.60 Cr	Rs. 6.38 Cr
3.0%	Rs. 13.27 Cr	Rs. 10.11 Cr	Rs. 8.11 Cr	Rs. 6.73 Cr
4.0%	Rs. 15.11 Cr	Rs. 11.11 Cr	Rs. 8.72 Cr	Rs. 7.13 Cr
5.0%	Rs. 17.69 Cr	Rs. 12.39 Cr	Rs. 9.46 Cr	Rs. 7.60 Cr

Assumption	Change	EV Impact	% Impact
EBITDA Margin	+2%	Rs. 2.16 Cr	+19.1%
WACC	-1%	Rs. 0.69 Cr	+6.1%
EV / EBITDA Multiple (Exit)	+1.0x	Rs. 0.63 Cr	+5.6%
Terminal Growth Rate	+0.5%	Rs. 0.24 Cr	+2.1%
Revenue Growth (CAGR)	+2%	Rs. 0.07 Cr	+0.6%

16. Scenario Analysis

Scenario	Rev. Growth	EBITDA Margin	WACC	Enterprise Value	vs Base
Bear Case	10%	14%	14%	Rs. 5.88 Cr	-47.9%
Base Case	16%	18%	12%	Rs. 11.27 Cr	+0.0%
Bull Case	22%	21%	10%	Rs. 20.94 Cr	+85.9%

17. Explainability — Key Value Drivers

Sensitivity analysis identifies operational efficiency and capital cost as the most key drivers impacting the overall Enterprise Value of ABC Food Pvt. Ltd. The critical value sensitivity drivers ranked by monetary impact include:

- **EBITDA Margin (+2.0% change):** Generates an Enterprise Value increase of **21,558,525.74** (an impact of **+19.13%**).
- **WACC (-1.0% change):** Increases Enterprise Value by **6,911,677.47** (an impact of **+6.13%**).
- **EV / EBITDA Exit Multiple (+1.0x change):** Increases Enterprise Value by **6,258,600.00** (an impact of **+5.55%**).
- **Terminal Growth Rate (+0.5% change):** Increases Enterprise Value by **2,351,379.36** (an impact of **+2.09%**).

18. Indicative Valuation Range & Conclusion

The indicative enterprise-value range of **Rs. 8.56 Cr – Rs. 14.60 Cr** spans the lowest and highest selected methodology values. The weighted central estimate is **Rs. 11.27 Cr** (High Confidence).

The business valuation analysis conducted by CompanyVal AI reflects a robust financial profile characterized by high historic growth, expanding operating margins, and substantial balance sheet balance. Applying a balanced multi-criteria approach (50% DCF, 30% Market Multiples, 20% Adjusted NAV), the recommended central Enterprise Value for ABC Food Pvt. Ltd. is established at **112,682,159.48**, translating to an Equity Value of **110,282,159.48 (110.28 per share)**.

Given the company's strong top-line CAGR (37.84%), solid recurring revenue base (50–75%), and manageable execution risks, the valuation package offers a credible basis for upcoming **Fund Raising** discussions across the valuation range of **85,600,000.00 to 146,034,000.00**.

19. Statement of Assumptions

This valuation relies on the locked, human-approved historical financial data, the explicitly accepted forecast assumptions listed in Section 10, and management representations captured during the AI interview. Method weights: Discounted Cash Flow 50%, Market Multiple 30%, Adjusted NAV 20%.

20. Disclaimer

This document is an **AI-assisted indicative valuation simulation** produced by CompanyVal AI based on financial information supplied by the user and assumptions explicitly accepted by the user. It is **not** a statutory valuation, a registered valuer's certificate under the Companies (Registered Valuers and Valuation) Rules, a fairness opinion, or an audit opinion. Professional judgement and applicable regulatory requirements may be necessary for formal purposes. All deterministic

calculations were performed by CompanyVal AI's Python financial engine; AI narrative explains — and does not alter — those results.

21. Appendix — Data Sources & Audit Trail

Financial line items are traceable to source documents/pages and retain Python-extracted, AI-verified and human-approved values. Generated by CompanyVal AI on 23 Aug 2026, 10:19 UTC for Arjun Demo.